

Unit five

International market promotion

AIMS AND OBJECTIVES

After studying this unit you will be able to explain

- meaning of promotion
- elements of promotion
- the advertising media used
- the tools under sales promotion, etc

12.1 INTRODUCTION

Promotion means effective communication

The purpose of promotion is both to communicate with buyers and to influence them.

Effective promotion requires an understanding of the process of persuasion and how this process is affected by environmental factors.

The potential buyer must not only receive the desired information, but also be able to comprehend that information. Furthermore, the information must be sufficiently potent to motivate this buyer to react positively.

To communicate effectively with someone means that certain facts and information are shared in common with that person. Communication is basically a five-stage process consisting of source, encoding, information, decoding and destination.

Encoding is a step that transforms the idea or information into a form that can be transmitted (eg. written or spoken words). For a receiver to understand the coded information, that person must be able to decode these words.

12.2 ELEMENTS OF PROMOTION

The marketing communications mix (also called the promotion mix consists of **five major modes of communication**:

- Advertising
- *Sales promotion*
- *Public relation & Publicity*
- *Personal selling*
- *Direct Marketing*

Advertising:-Any Paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor

Sales promotion: A variety of short-term incentives to encourage trial or purchase of a product or service

Public relation & Publicity: A variety of programs designed to promote and/or protect a company's image or its individual products.

Personal selling: Face -to -Face interaction with one or more prospective purchasers for the purpose of making presentation, answering questions, and processing orders.

Direct Marketing: Use of mail, telephone, fax, e-mail, and other non personal contact tools to communicate directly with or solicit a direct response from specific customers and prospects.

The starting point in the communication process is thus an audit of all the potential interactions target customers may have with the product and company.

For example, someone purchasing a new computer would talk to others, see television ads, read articles in newspaper and magazines, and observe computers in a store.

The marketer needs to assess which of these experiences and impressions will have the most influence at the different stage of the buying process. This understanding will help marketers allocate their communication dollars more efficiently.

Fundamental elements underlying effective communication

To communicate effectively, marketers need to understand the fundamental elements underlying effective communication.

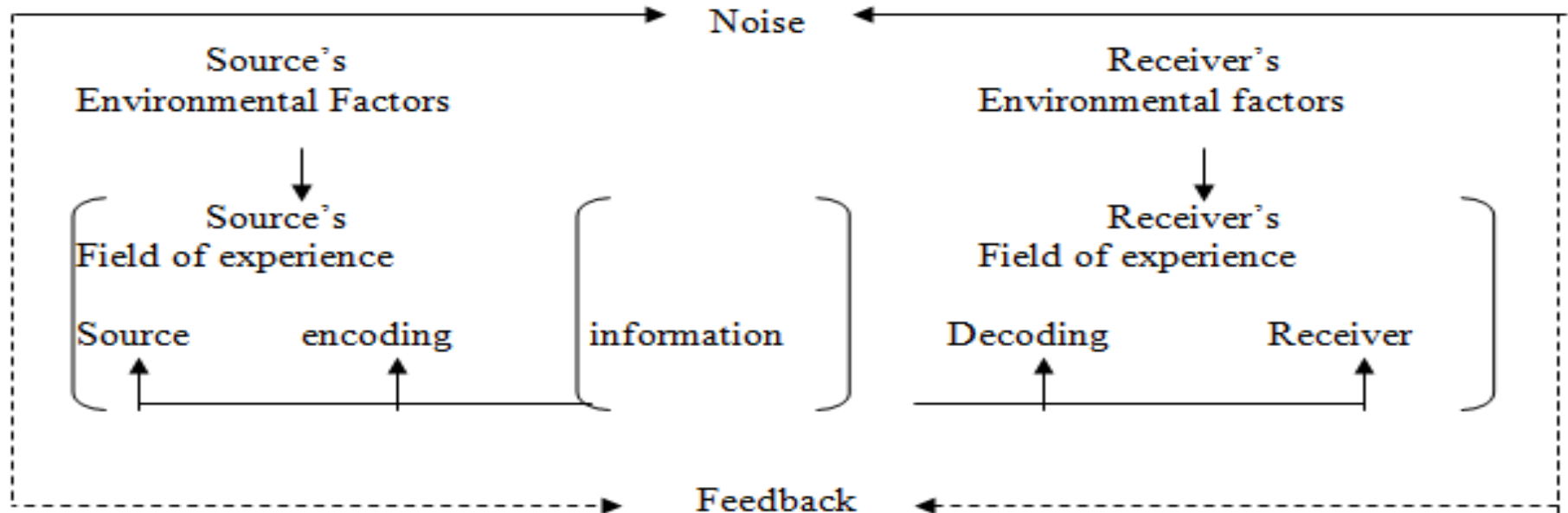
The major parties in a communication - sender & receiver.

The major communication tools - message & media.

The major communication functions - encoding, decoding, response and feedback.

The last element in the communication system is noise.

The process of Communication



The model underscores the key factors in effective communication. Senders must know what audience they want to reach and what responses they want.

Senders must encode their messages in a way that takes into account how the target audience usually decodes messages. They must also transmit the message through efficient media that reach the target audience and develop feedback channels to monitor the receivers response to the message.

Personal Selling

The goal of all marketing efforts is to increase profitable sales by offering want satisfaction to consumers over the long run.

Personal selling is by far the major promotional method used to reach this goal. Personal selling can be defined as follows:-

*" Personal selling is the personal communication of information to persuade somebody to buy something"*¹

According to AMA(American marketing Association), personal selling is an *“oral presentation in a conversion with one or more prospective purchases for the purpose of making sales. Personal selling is more known commonly as salesmanship.”*²

Personal selling is the individual, personal communication of information, in contrasts to the mass, impersonal communication of advertising, sales promotion, and other promotional tools.

This means that the personal selling is more flexible than these other tools. Sales people can tailor their presentation to fit the needs and behavior of individual customers. Sales people can see their customer's' reaction to a particular sales approach and make adjustments on the spot.

Personal selling usually can be focused or pinpointed on prospective customers, thus minimizing wasted effort. In contrast, much of the cost of advertising is spent on sending messages to people who is no way are real prospects.

Another advantage of personal selling is that its goal is to actually make a sale. Other forms of promotion are designed to move a prospect closer to a sale. Advertising can attract attention, provide information, and arouse desire, but seldom does it stimulate buying action or complete the transfer of title from seller to buyer.

limitation/Disadvantages of personal selling

- A major limitation of personal selling is its high cost. Even though personal selling can minimize wasted effort, the cost of developing and operation sales force is high.
- Another disadvantage is that a company often is unable to attract the quality of people needed to do the job.

Types Of Personal Selling

The types of selling jobs and the activities involved in them covers a wide range. One way of classify sales jobs is on the basis of the creative selling skills required, from the simple to the complex.

Robert MCcmurry, classified sales jobs as follows:-

- 1. Driver- sales person:-**
- 2. Inside order taker:-**
- 3. Outside order taker**
- 4. Missionary sales person:-**
- 5. Sales Engineer:-**
- 6. Creative sales person- an order getter.**

1. Driver- sales person:-

In this job the sales person primarily delivers the product-

for example, soft drinks or fuel oil. The selling responsibilities are secondary; few of these people originate sales.

2. Inside order taker:-

Inside order taker is a position in which the sales person takes orders at the seller's place of business-

for example, a retail clerk standing behind the counter, or a telephone representative at a catalog retailer. Most customers have already decided to buy, and the sales person's job is to serve them efficiently.

3. Outside order taker

In this position the sales person goes to the customer in the field and accepts an order. An example is a hardware sales person calling on a retail hardware store, or a sales representative for a radio station who sells advertising time to local business. The majority of these sales are repeat orders to established customers, although these sales people occasionally do introduce new products to customers.

4. Missionary sales person:-

These types of sales job is intended to build good will, perform promotional activities, and provide information and other services for the customers. This sales person is not expected to solicit an order.

5. Sales Engineer:-

In this position the major emphasis is on the sales person's ability to explain the product to a prospective customer, and also to adapt the product to the customers particular needs.

The products involve here typically are complex, technically sophisticated items.

A sales engineer usually provides technical support ,and works with another sales representative who calls regularly on a given account.

6. Creative sales person- an order getter.

Creative sales person- an order getter involves the creative selling of goods & intangibles- primarily services, but also social causes and ideas (don't do drugs, stop smoking, obey speed limit etc.). This category contains most complex, difficult selling jobs- especially the creative selling of intangibles, because you can't see, touch, taste, or smell them. Customers often are not aware of their needs for a seller's product, or they may not realize how that product can satisfy their wants better than the product they are now using.

Traditionally, personal selling was face-to face, one -on-one situation between a sales person and a buyer. This situation is existed both in retail sales involving ultimate consumers and also in business-to-business transaction.

In recent years, however, some very different selling patterns have emerged. These new patterns reflect a growing purchasing expertise among consumers and business buyers, which, in turn, has fostered a growing professionalism in personal selling.

Recent /emerging/ selling patterns

Let's discuss five of these emerging patterns.

- 1. Selling centers- Team selling**
- 2. System selling**
- 3. Relationship selling**
- 4. Telemarketing**
- 5. Expatriate Personnel**

1. Selling centers- Team selling

To match the expertise on the buying side, especially in business markets, a growing number of firms on the selling side have adapted the organizational concept of a selling center.

A selling center is a group of people representing a sales department as well as other functional areas in a firm such as finance, production, and research and development.

Team selling is expensive, and is used only when there is a potential for high sales volume and profit.

2. System selling

The concept of systems selling means selling a total package of related goods and services- a system- to solve a customer's problem. The idea is that the system-the total package of goods and services – will satisfy the buyer's needs more effectively than selling individual products separately.

3.Relationship selling

Developing a mutually beneficial relationship with selected customers over time is relationship selling. It may be an extension of team selling, or it may be developed by individual's sales representative in their dealings with customers. The seller attempts to develop a deeper, longer-lasting relationship built on trust with key customers- usually large accounts.

Major behavioral traits in selling to build trust in buyer- seller relationships

Unfortunately, often there is not much trust found in buyer- seller relationships, neither in retailer- consumer selling nor in business-to-business selling. How do you build this trust? The following behavioral traits in selling can be effective trust builders.

Candor(openness, loyalty) – Be truthful in what you say

Dependability – Behave in a reliable manner

Competence- Display your ability, knowledge and resources

Customer orientation – Place your customers' needs and interest on a par with your own

Liability – Seek a similarity of personality between you and the customers, and commonality of interest and goals.

4. Telemarketing (selling over the telephone)

Personal selling does not always require a face-to-face conversation. For instance, personal selling can be done over the telephone. Although telephone selling has been in existence for a considerable period of time, the growth of the direct marketing field has pushed this method of selling to the forefront. This marketing practice is now known as telemarketing.

The telemarketing is the innovative use of telecommunications equipment and systems as part of the “going to customer” category of personal selling.

Telemarketing is growing because:

- many buyers prefer it over personal sales calls in certain selling situations, and
- Many marketers find that it increases selling efficiency.

Buyers placing routine reorders or new orders for standardized products by telephone or computer use less of their time than in –person sales calls. Sellers face increasingly high cost keeping sales people on the road; selling by telemarketing reduces that expense. Also, routine selling by creating allows the field sales force to devote more time to creating. Selling, major account selling, and other more profitable selling activities

5. Expatriate Personnel

One controversial subject for which there is no definite solution is the nationality of the sales persons to be used in a market abroad.

Some marketers argue for the use in foreign market of expatriate salespersons, or those from the home country. Others take the opposite point of view by contending that the best policy is to use local nationals or that salesperson, which were born in the host country.

12.2.2 Public Relation/Publicity

Like advertising and sales promotion, public relation is an important marketing tool. Not only must the company relate constructively to its customers, suppliers and dealers, but it must also relate to a large set of interested publics. Public relation may be defined as follows:

"A public is any group that has an actual or potential interest in or impact on a company's ability to achieve its objectives. Public relations (PR) involve a variety of programs designed to promote and/or protect a company's image or its individual products."

Public relations is a management tool designed to favorably influence attitudes toward an organization, its products, and its policies. It is an often-overlooked form of promotion. In most organizations this promotional tool is typically a stepchild, relegated far behind personal selling, advertising, and sales promotion. There are several reasons for management's lack of attention to public relations:

five activities Public relation departments perform support marketing objectives

Public relation departments perform the following five activities, not all of which support marketing objectives.

1. **Press relation** -Presenting news and information about organization in the most positive light
2. **Product publicity** - Sponsoring various efforts to publicize specific products
3. **Corporate Communication** -Promoting understanding of the organization with internal and external communications
4. **Lobbying** -Dealing with legislators and government officials to promote or defeat legislation and regulation
5. **Counseling** - Advising management about public issue and company positions and image. This includes advising in the event of a product mishap when the public confidence in a product is shaken.

Publicity is any communication about an organization, its products, or policies through the media that is not paid for by the organization.

Publicity usually takes the form of a news story appearing in a mass medium or an endorsement provided by an individual, either informally or in a speech or interview.

Publicity is the non-personal stimulation of demand that is not paid for by a sponsor that has released news to the media.

Advertising and publicity are quite similar in the sense that both require media for a non-personal presentation of the promotional message.

Difference between Advertising and publicity

- One difference between the two is that with publicity a company has less control over how the message will be used by the media.
- Another difference is that publicity is presumed to be free in the sense that the media are not paid for the presentation of the message to the public.

Means for gaining good publicity

There are three means for gaining good publicity:

- 1. Prepare a story (called a news release) and circulate it to the media.** The intention is for the selected newspapers, television stations, or other media to report the information as news.
- 2. Personal communication with a group.** A press conference will draw media representatives if they feel the subject or speaker has news value. Company tours and speeches to civic or professional groups are other forms of individual to group communications.
- 3. One on one personal communication often called lobbying.** Companies lobby legislators or other powerful people in an attempt to influence their opinions, and subsequently their decisions.

Publicity can help to accomplish any communication objective. It can be used to announce new products, publicize new policies, or report financial performance. If the message, person, or group, or event is viewed by the media as news worthy.

Sales Promotion

Sales promotion consists of those promotional activities other than advertising, personal selling, and publicity. As such, any promotional activities that do not fall under the other three activities of the promotion mix are considered sales promotion.

The techniques of sales promotion are varied and numerous. The common ones used are coupons, games contests, price-offs, demonstrations, premiums, samples, money, refund offers, and trading stamps. Sales promotion is a key ingredient in marketing campaign.

Meaning

It can be defined as follows:

"Sales promotion consists of a diverse collection of incentives tools mostly short term designed to stimulate quicker and/or greater purchase of particular products by consumer or the trade."

sales promotion is a demand stimulating devices designed to supplement advertising and facilitate personal selling. Where advertising offers a reason to buy, sales promotion offers an incentive to buy. Sales promotion includes tools for consumer promotion (samples, coupons, cash refund offers, prices off, premium, prizes, patronage rewards, free trails, warranties, tie in promotions, cross promotions, point of purchase displays, and demonstrations).

Trade promotion (prices off, advertising, display allowances, and free goods). And business and sales force promotion (trade shows and conventions, contents for sales representatives, and specialty advertising).

Sales promotion are conducted by producers and middlemen. The target for producers' sales promotions may be middlemen, end users households or business users or the producer's own sales force, middlemen direct sales promotion at their sales people or prospects further down the channel of distribution.

Sales promotion is effective when a product is first introduced to a market. It also marks well with existing products that are highly competitive and standardized especially when they are of low unit value and have high turnover. Under such conditions sales promotion is needed to gain that “extra” competitive advantage.

The effectiveness of sales promotion can be tempered by psychological barriers, and this fact is applicable to middlemen as well as consumers. Some retailers are reluctant to accept manufacturers coupons because they fear they will not be reimbursed. Consumers, on the other hand, may review rebates, mail-in coupons, and money-back guarantees with suspicion, thinking that something must be wrong with the product.

International marketers need to confirm the validity of a statement concerning the effectiveness of a sales promotion technique. Sometimes, casual observation and hearsay have a way of making a particular claim become a statement of fact without support of empirical evidence.

Although sales promotion is generally received enthusiastically in LDCs, the activity is still largely underutilized, which may be due more to legal barriers than psychological barriers. European countries have a larger number of restrictions than the United States in this area. The legal requirements are diverse that the European association of Advertising Agencies (EAAA) decided that the standardization of promotion regulations was very unlikely in the near future.

Sales Promotion Tools

Let us see how certain sales promotional tools might be affected by local regulations.

i) Premium & Gifts

ii) Price Reductions, Discounts and Sales

iii) Samples

iv) Games and Contests

i) Premium & Gifts

Most European countries have a limit on the value of the premium given. Colgate was sued by a local blade manufacturer in Greece for giving away razor blades with shaving cream. Austria considered premiums to be a form of discriminatory treatment toward buyers.

ii) Price Reductions, Discounts and Sales

Austria has a discount law prohibiting cash reductions that give preferential treatment to different groups of customers. Discounts in Scandinavia are also restricted. In France, it is illegal to sell a product for less than its cost. In Germany, marketers must notify authorities in advance if they plan to have a sale.

iii) Samples

Germany restricts door-to-door free samples that limit population coverage as well as the size of the sample pack. The USA does not allow alcoholic beer to be offered as a free sample.

iv) Games and Contests

In USA games, or contests not become illegal lottery, a company must make certain that at least one of the three elements – chance, consideration, and price-is missing. Also, a state government's prior approval may be required.

Sales promotion should be included in a company's promotion plans, along with advertising and personal selling. This means setting sales promotion objectives and strategies, determining a sales promotion budget, selecting appropriate sales promotion techniques, and evaluating the performance of sales promotion activities.

The objectives of a sales promotion may be the following:

- Stimulating business user or household demand for a product
- Improving the marketing performance of middlemen and sales people
- Supplementing advertising and facilitating personal selling.

One sales promotion technique may accomplish one or two but probably not all of these objectives.

The choice of sales promotion techniques should be dictated by the objectives of the total marketing program. Consider the following situations and the different strategies available:

A firm's objective is to increase sales by entering new geographic markets. **A pull strategy is one way to encourage product trial and lure consumers away from familiar brands.** Possible sales promotion tactics are coupons, cash rebates, free samples, and premiums.

A firm's objective is to protect market share in the face of intense competition. This goal suggests a push strategy to improve retailer performance and goodwill's Training retailers' sales people, supplying effective point of purchase displays, and granting advertising allowances would be appropriate sales promotion options.

Evaluating the effectiveness of sales promotion is much easier and the results more accurate than evaluating the effectiveness of an advertising. For example, to a premium offers or a coupon with a specified closing date can be counted and compared to a similar period where there were no premiums or coupons offered. It is easier to measure sales promotion because:-

- Most sales promotion have definite starting & ending points

- Most sales promotions are designed to impact sales directly

Advertising

Advertising, sales promotion, and public relations are the mass communication tools available to customers. As its name suggests, mass communication uses the same message for everyone in an audience. The mass communicator trades off the advantage of personal selling, the opportunity to tailor a message to each prospective customer, for the advantage of reaching many people at a lower cost per person. Advertising is one of the most common tools companies use to direct persuasive communication to target buyers and publics.

Advertisers include business firms but also museums, charitable organizations, and government agencies that advertise to various target publics. Ads are a cost effective way to disseminate messages, whether to build brand preference or to educate a nation's people to avoid hard drugs.

Meaning

"Advertising is any paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor."

The purpose of advertising is to sell something a good, service, idea, person, or place either now or later. This goal is reached by setting specific objectives that can be expressed in individual advertisement that are incorporated into an advertising campaign. Thus, the immediate objective of an advertisement may be to move target customers to the next stage in the hierarchy say, from awareness to interest.

These objectives must flow from prior decisions on the target market, market positioning, and marketing mix. The marketing positioning and marketing mix strategies define the job that advertising must do in the total marketing program.

Advertising objectives can be classified according to whether their aim is to inform, persuade, or remind:

1. **Informative advertising:-** figures heavily in the pioneer stage of a product life category, where all objectives is to build primary demand.
2. **Persuasive advertising:-** becomes important in the competitive stage, where a company's objective is to build selective demand for a particular brand. Some persuasive advertising has moved into the category of comparative advertising, which seeks to establish the superiority of one round through specific compression of one or more attributes with one or more brands in the product class.
3. **Reminder Advertising:-** is highly important with mature products. A related form of advertising is reinforcement advertising, which seeks to assure current purchasers that they have made the right choice.

The choice of advertising objective should be based on a thorough analysis of the current marketing situation. For example, if the product class is mature, the company is the market leader, and brand usage is low, the proper objective should be to stimulate more brand usage. If the product class is new, the company is not the market leader, but the brand is superior to the leader, then the proper objective is to convince the market of the brand's superiority.

1 Advertising Media

The appeal and the target audience determine the message and the choice of media. Advertisers need to make decisions at each of three successive levels to determine which specific advertising media to use:-

Which type of media will be used?

Newspaper, television, radio, magazine, or direct mail? What about the less prominent media of billboards, and yellow pages?

Which category of the selected medium will be used?

Television has network and cable. Magazines include general interest and special interest categories. And there are national as well as local newspaper.

Which specific media vehicles will be used?

An advertiser that decides first on radio and then on local stations must determine which stations to use each city.

Media selection involves finding the most cost effective media to deliver the desired number of exposure to the target audience.

Here are some general factors that will influence media choice:-

1.Objective of the advertisement

The purpose of a particular advertisement and the goals of the entire campaign influence which media to use. For example, if an advertiser wants to induce quick action, newspaper or radio may be the medium to use.

2.Audience Coverage

The audience reached by the medium should match the geographic area in which the product is distributed. Furthermore, the selected medium should reach the desired types of prospects with a minimum of wasted coverage. Wasted coverage occurs when an advertisement reaches people who are not prospects for a product.

3.Requirements of the message

The medium should fit the message. For example, food products, floor coverings, and apparel are best presented visually. If the advertiser can use a very brief message, as is common with reminder advertising, billboards may be a suitable medium.

4.Media Cost

The cost of each medium should be considered in relation to the amount of funds available to pay for it and its reach or circulation.

Media is a vehicle through which an advertiser communicates their message to likely customers or prospects with a view to influencing them in terms of the advertising objectives.

The advertising media can be classified on the following basis. Advertising can be affected in several ways by local regulations. The availability of media (or the lack of it) is one example, when and how much media time and spaces are made available, if at all, is determined by local authorities. Belgium prohibits the use of electricity for advertising purposes between midnight and 8:00 AM. Greece and South Korea ban the erection of new signs. Furthermore, nationalism may intrude in the form of a ban on the use of foreign languages and materials in advertising.

According to the World Health Organization, nations with compute bans on cigarettes advertising are Norway, Finland, Italy, Algeria, Jordan, Sudan, Bulgaria etc and those with partial bans include Senegal, Canada, Egypt, Belgium, Denmark, France etc.

International advertising is the practice of advertising in foreign or international media when the advertising campaign is planned, directly or indirectly, by an advertiser from another country. To advertise overseas, a company must determine the availability (or unavailability) of advertising media. Media may not be readily available in all countries or in certain area with in the countries. The advertising media widely in use are:

1. Television

Television combines motion, sound, and special visual effects. Products can be demonstrated as well as described on TV. It offers wide geographic coverage and flexibility in when the message can be presented. However, television is a relatively expensive medium. In most countries, television is taken for granted because it is available everywhere and in color. Outside USA, or even in other advanced nations, it is a different story altogether.

In most countries, television is not available on a nationwide basis because of the lack of TV Stations, Cable TV, Color TV for the poor, is a rarity. Nevertheless, the viewing habits of people of lower income should not underestimate because of the group-viewing factor. I.e. A TV set in a village hall can attract a large number of viewers, resulting in a great deal of interaction among the villagers in terms of conversation about the advertising products. In many countries, TV stations are state controlled and government operated because of military requirements. As such, the stations are managed with the public welfare rather than a commercial objective in mind. The programming and advertising are thus closely controlled. The programs shown may vary widely and are usually dubbed in the local languages.

2. Radio

A radio set is inexpensive and affordable – even among poor people. It is virtually a free medium for listeners: the programs are free and the costs of operating and maintaining a radio set are almost negligible. Furthermore, illiteracy poses no problem for this advertising medium. As a communication medium, radio is entertaining, up-to-date and portable. The medium penetrates from the highest to the lowest socio-economic levels, with Fm stations being preferred by high-income and better-educated listeners. Not surprisingly, radio commands the largest portion of advertising expenditures in a great number of markets.

Radio is the most effective media that has enjoyed a rebirth as an advertising and cultural medium. When interests on television increased, radio audiences (especially for national network radio) declined so dramatically that some people predicted radio's demise. Radio makes only an audio impression, relying entirely on the listener's ability to retain information heard and not seen. Also audience attention is often at a low level, because radio is frequently used as background for working, studying, or some other activity.

3. News Papers

Press advertising includes advertising in newspaper, magazines, trade journals, & business directory. The news paper is the most popular form of advertising. It constitutes a valuable medium for disseminating news and molding public opinions and therefore plays an important role in social and political life.

As an advertising medium, newspaper is flexible and timely. Advertising can be inserted or cancelled on very short notice, and can vary in size from small classifieds to multiple pages. Pages can be added or dropped, so newspapers are not limited. Newspapers can be used to reach an entire city, or, where regional editions are offered, selected areas.

Cost per person reached is relatively low. On the other hand, the life of newspapers is very short they are discarded soon after being read.

News papers are viewed as providing fairly complete coverage of a local market. Also, because newspapers don't offer much format variety, it is difficult to design advertisement that stands out.

In virtually all-urban areas of the world, the population has access to daily newspapers. In fact, the problem of the advertiser is not one of having too few newspaper but rather one of having too many of them.

Newspapers in communist countries are controlled by the government and are thus used for propaganda purpose. China's newspapers,

for example, tend to carry news items that the government deems to express some moral and social value. Furthermore, with so many newspapers dividing a small market, it is expensive to reach the entire market.

There are some three hundred eighty and eighty hundred newspapers in Turkey and Brazil, respectively.

With advertisements in just one paper, the reach would be quite inadequate.

4. Magazines

Marketers of international products have the option of using international magazines that have regional editions (e.g. Time, Business week, Newsweek, and life).

In the case of Reader's Digest, local language editions are distributed. Local (i.e. national) business magazines are good vehicle to reach well-defined target audience.

Magazines are the medium to use when high quality printing and color are desired in advertising.

Magazines can reach a national market at a relatively low cost per reader. Through special interest magazines or regional editions of general interest magazines, an advertiser can reach a selected audience with a minimum of wasted circulation.

5. Trade Journals

are the medium used by an advertiser to reach among a particular class of persons such as doctors and engineers. Thus, where the objective of advertising is to reach such a specific class of persons, trade journals become very suitable as a form of advertising.

6. Business Directory

Yellow pages as we know it today a printed directory of local business names and phone numbers organized by type of product has been around since the late 1800's. Yellow pages advertising revenue exceeded both radio and magazines.

7. Screen (Cinema)

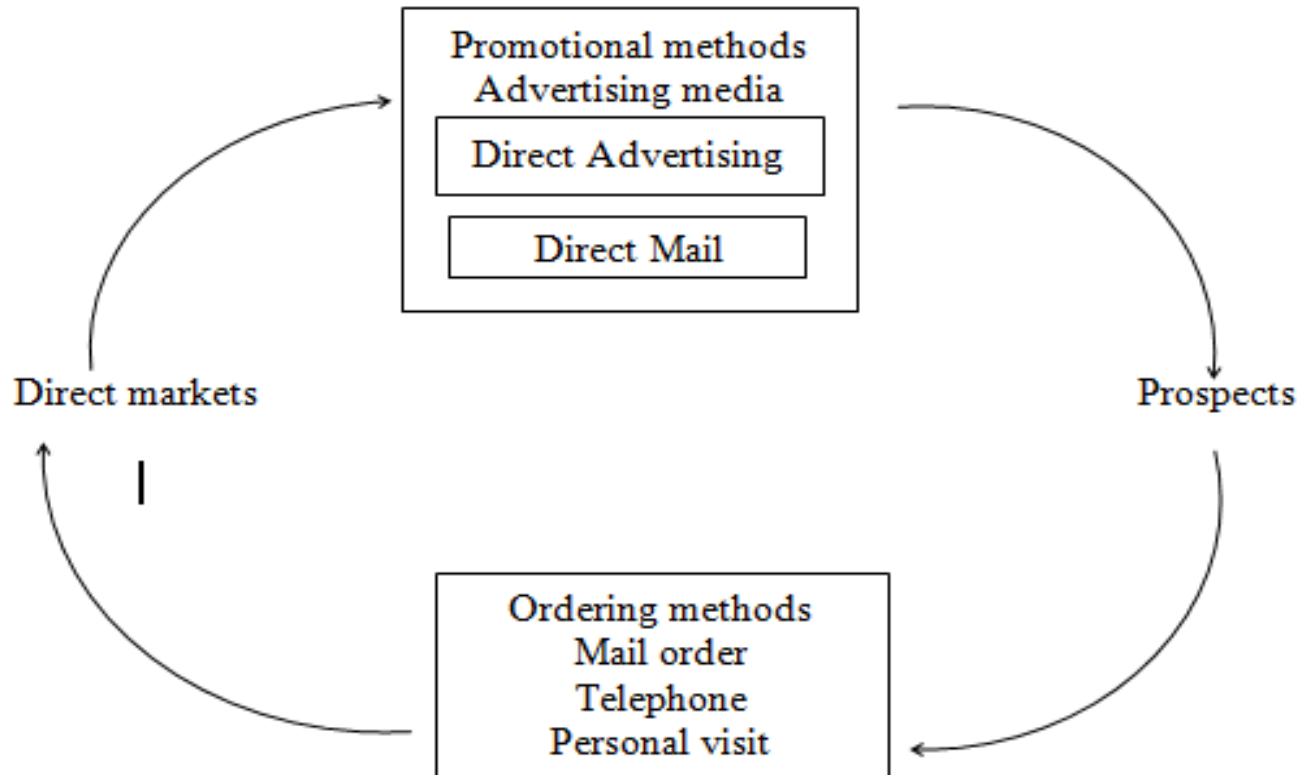
In virtually all countries, the cinema is a favorite activity for social gathering. People are avid moviegoers because of the limited television broadcasting and because of people's natural desire to go out to place of social gathering. Cinema advertising has several advantages. It has impact of outdoor advertising without the drawback of being stationary. It has sight and sound like television but with better quality. Furthermore, cinema advertising has a true captive audience. A disadvantage is that some moviegoers may result having to watch commercials.

12.2.5 Direct Marketing

Direct marketing is the total of activities by which products and services are offered to market segments in one or more media for informational purposes or to solicit a direct response from a present or prospective customer or contributor by mail, telephone, or personal visit. As a system, direct marketing has two distinct components:

(1) Promotion and

(2) Ordering/delivery



Direct Advertising is media consists of direct mailings and all forms of print advertisement distributed directly to prospects through a variety of methods. (i.e. Advertising materials distributed door to door, on the street or inside the store etc).

Direct Mail is thus only one kind of Direct Advertising Medium, which is in turn a part of general Advertising Media or the promotional methods of Direct Marketing.

Mail order is not a medium; rather it is just one of several means that can be used to place and handle orders.

Direct mail, also known as direct marketing, is the most personal and selective of all media.

Printing and postage fees make the cost of direct mail per person reached quite high compared with other media. However, because direct mail goes only to the people the advertisers wishes to contact, there is almost no wasted coverage. Reaching the prospect does not, however, ensure that the message is received. Direct mail is pure advertising. Therefore, a direct advertisement must attract its own readers.

It will be realized that press advertising is generally read when the subscriber or reader are indoors. As against this, there are other media, which are noticed by persons when he is outdoors. This media includes bill boards, posters, vehicular advertisement sky advertising, electrical signs. But because it is seen by people "on the go" outdoor advertising is appropriate only for brief messages.

Historically, the cigarette and tobacco industries have been the heaviest outdoor advertisers, in part because they are banned from the broadcast media. However, the effectiveness of billboards for reminder advertising has also made them attractive to other industries.

advances in computerized billboard paintings have greatly speeded up the production of boards and standardized their quality. Billboards provide flexibility in geographic coverage and can provide intense coverage within an area. However, unless the advertised product is a widely used good or service, considerable wasted circulation will occur, since many of the passer by will not be prospects. In summary, there are many forms of advertising media from which the marketing manager has to make an appropriate decision.

The main yardstick for selection of a media should lie on reach of the maximum number of potential buyers at a minimum cost. Therefore the advertiser should determine the prospective (potential)customer or the market segments at which the advertising is to be directed.

The messages or copies should also be appropriate for the type of media and the nature of the product involved.

12.3 SUMMARY

Promotion means communication

.The marketing communication mix consist of the five major modes of communication: advertising, sales promotion, salesmanship, public relation/publicity, and direct marketing.

The starting point in communication process is thus an audit of all the potential interaction that target customers may have with the product and the company.

To communicate effectively, marketers need to understand the fundamental elements underlying effective communication. The major parties in the communication process -sender and receiver. The major tools used in the communication process - message and media. The major functions in the communication process – encoding, decoding, response and feed back. The last element in the system is noise.

Advertising is one of the elements of the promotion mix. Advertising is any paid form of non-personal presentation of ideas, goods or services by an identified sponsor. The main objectives of advertising are to inform, persuade, and remind. The appeal and the target audience determine the message and the choice of media to deliver the desired number of exposure to the target audience. Types of advertising includes: news paper, television, magazines, radio, etc. Sales promotion should be included in a company's promotion plans, along with advertising and personal selling .Sales promotion is a short term incentive provided by the seller for the purpose of increasing the sales volume. Some of the tools used under the sales promotion includes: premium and gifts, price reduction, discount and allowances, contests, samples, etc.